Interest Rates and Household Debt in Australia: Econometric and Balance Sheet Evidence, 2015–2025

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1. Introduction

Interest rates in Australia changed substantially over the past decade. Rates were low and falling for most of the period before 2020, reached 0.1 per cent during the COVID-19 pandemic, rose quickly from 2022 to a peak of 4.35 per cent, and began to fall again in 2025. The cash rate influences household borrowing costs, and Australian households hold high levels of debt. Understanding how household finances changed across these periods is therefore relevant to policymakers and researchers.

Economic theory suggests that higher interest rates may discourage borrowing and change household saving decisions. This report examines whether the cash rate is associated with household net lending in Australia and describes how household balance sheets changed over the same period.

Two approaches are used, covering 2015 to 2025. The first is an econometric analysis. Household net lending and borrowing is regressed on the cash rate to answer three research questions:

- RQ1. Is the cash rate significantly associated with household net lending?
- RQ2. Is there evidence of a delayed association of up to two quarters?
- RQ3. Do the results still hold under different sample periods, variable transformations and model specifications?

The second approach is descriptive. The sample is divided into easing, stable and tightening interest rate regimes, and household debt-to-income and debt-to-assets ratios are examined across the period.

Using both approaches provides a broader interpretation. The regression results describe the relationship between the cash rate and net lending, while the balance sheet data show how household debt ratios changed. The report does not forecast exact outcomes for 2026; it discusses possible implications based on the observed patterns.

Section 2 sets out the monetary policy background and Section 3 the data and methodology. Section 4 describes household debt trends and Section 5 reports the regression results. Section 6 brings the two together, Section 7 discusses 2026, Section 8 sets out the limitations, and Section 9 concludes.

2. Monetary Policy Background

2.1 Cash Rate Trends

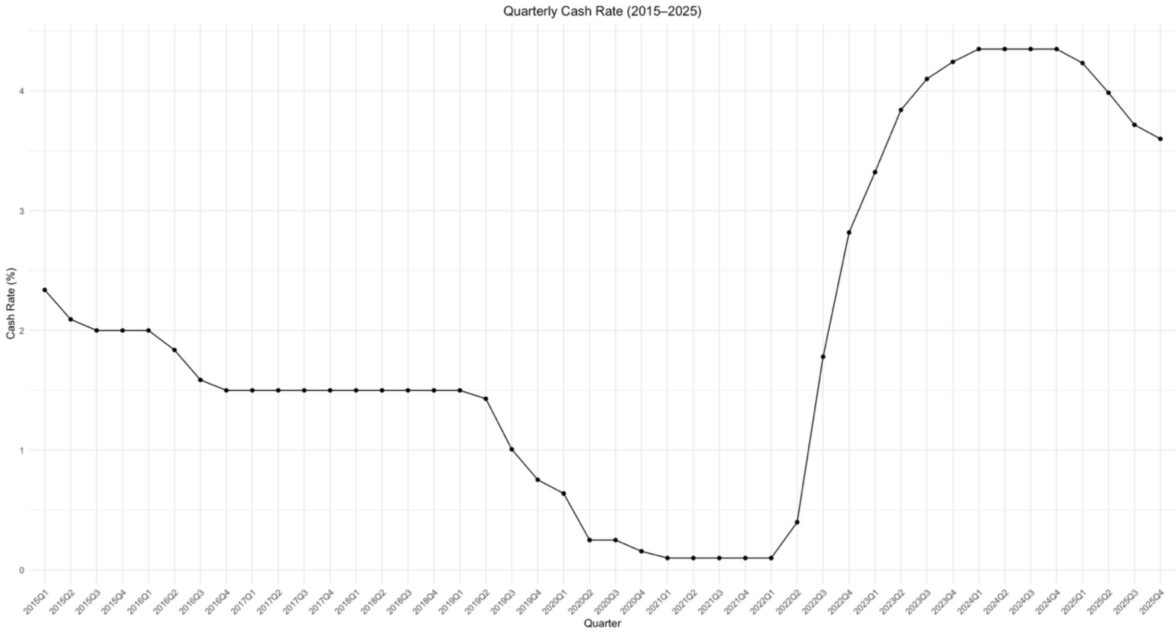

Figure 1. Quarterly Cash Rate, 2015–2025

The cash rate is the main interest rate set by the Reserve Bank of Australia (RBA). It matters because it affects borrowing costs for households and businesses, including mortgage repayments and expectations about future interest rates.

Figure 1 shows the quarterly average cash rate from 2015 to 2025. The cash rate fell from around 2.4 per cent in early 2015 to 1.5 per cent by late 2016, and then stayed at that level until mid-2019. Rates were cut again during 2019, and the cash rate fell further to a record low of 0.1 per cent during the COVID-19 pandemic, where it stayed until early 2022. After this, interest rates rose sharply and reached a peak of 4.35 per cent by late 2023. The cash rate stayed at that level through 2024, and then began to fall from early 2025, ending the sample at around 3.6 per cent.

The level of the cash rate shows the general interest rate environment, while the quarterly change shows how quickly policy was adjusted. Figure 2 presents the quarterly change over the same period. Three features stand out.

First, close to half of the quarters show no change at all, including 2017 to early 2019, most of 2021, and the second half of 2024. These periods form the stable regime used in the next section.

Second, the tightening phase from mid-2022 to early 2024 was both large and fast. The largest quarterly increase was about 1.38 percentage points in 2022Q3.

Third, the declines in 2015–16, 2019–20 and 2025 were smaller and spread over more quarters. The largest quarterly decline was less than half the size of the largest quarterly increase.

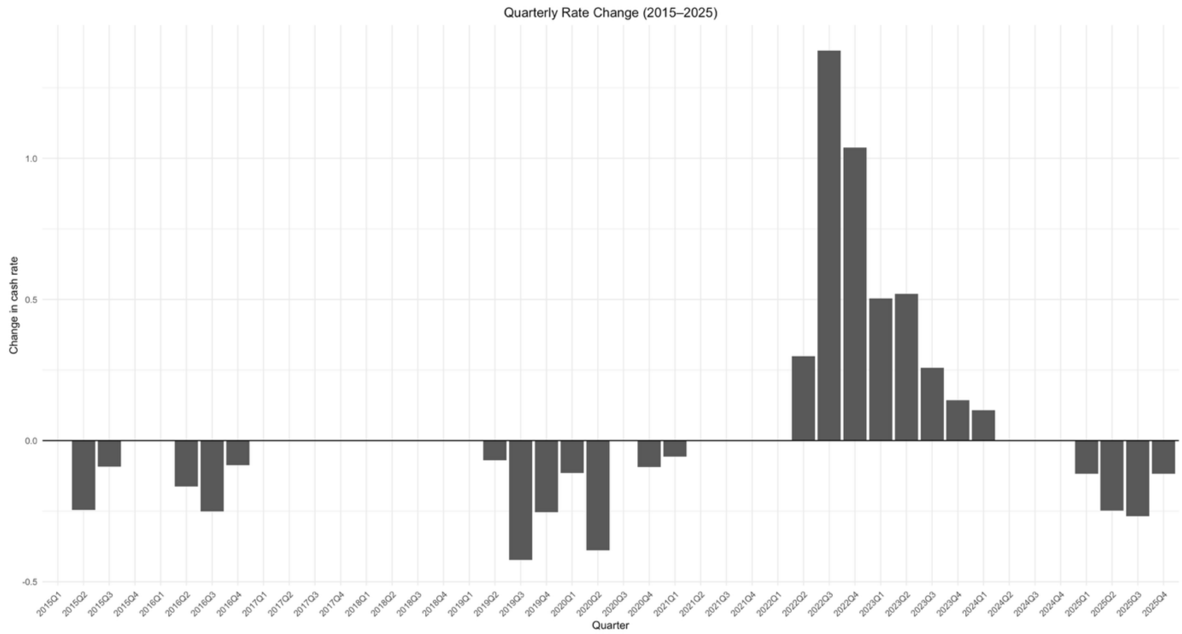

Figure 2. Quarterly Change in the Cash Rate, 2015–2025

2.2 Interest Rate Regimes

Households may behave differently depending on whether interest rates are rising, falling, or holding steady. To compare household debt across these conditions, the sample is divided into three interest rate regimes.

The classification uses the quarterly change in the cash rate shown in Figure 2. A quarter is classified as tightening if the quarterly average cash rate increased, easing if it decreased, and stable if it was unchanged from the previous quarter. Each quarter is classified separately, so a regime does not have to form a continuous block of time. The first quarter, 2015Q1, is excluded because there is no previous quarter for comparison.

Table 1. Interest Rate Regimes, 2015Q2–2025Q4

Regime	Quarters	Share	Main periods	Total change
Tightening	8	19%	2022Q2–2024Q1	+4.25 %p
Easing	16	37%	2015–16, 2019–20, 2025	−2.99 %p
Stable	19	44%	2017–2019Q1, 2021, 2024Q2–Q4	0
Total	43	100%		

Note. Regimes are defined on the quarterly change in the cash rate. 2015Q1 is excluded because no previous quarter is available. Shares may not sum to 100 due to rounding.

Two things are worth noting. First, all eight tightening quarters belong to a single episode between mid-2022 and early 2024, so any comparison involving the tightening regime relies on one monetary policy cycle. This is discussed further in Section 8. Second, the cash rate rose by 4.25 percentage points over only 8 quarters but fell by 2.99 percentage points spread across 16 quarters.

These regimes are used for descriptive comparison in Section 4 only. They are not included as variables in the regression models in Section 5.

3. Data and Methodology

3.1 Data Sources and Variables

This report uses quarterly data from 2015Q1 to 2025Q4. The cash rate comes from RBA Statistical Table F1. Household net lending and borrowing comes from the ABS Australian National Accounts: Finance and Wealth. The debt-to-income and debt-to-assets ratios come from RBA Table E2, and household liabilities come from RBA Table E1. Table 2 lists the variables used in the analysis.

Table 2. Variables Used in the Analysis

Variable	Definition	Unit
Cash rate	Average of the daily cash rate target in the quarter	Per cent
Rate change	Change in the average cash rate from the previous quarter	Percentage points
Net lending and borrowing	Household financial surplus or borrowing requirement in the quarter	$ million
Debt-to-income ratio	Household debt divided by annual household income	Per cent
Debt-to-assets ratio	Household debt divided by total household assets	Per cent
Household liabilities	Total household liabilities at the end of the quarter	$ billion

The cash rate is reported daily, so the daily values are averaged within each quarter to match the frequency of the other variables.

The sign of net lending is important for interpreting the results. Net lending is the household sector's financial surplus after saving and capital transfers are compared with capital investment. A positive value indicates net lending and a negative value indicates net borrowing. The sum across the sample is approximately $632 billion, indicating a net lending position overall.

The sources do not all end at the same date. The cash rate runs to 2025Q4, but net lending and the household ratios only run to 2025Q3. Figures 1 and 2 therefore cover the full period, while the regressions and the debt analysis stop at 2025Q3.

Consistent data on fixed-rate and variable-rate loan shares were not available for the full sample examined here. APRA data were reviewed as supplementary information on the banking sector and housing lending, but they were not used directly in the regression analysis (APRA, 2025). The balance sheet ratios used here do not directly measure households' loan choices, so the report focuses on aggregate debt and balance sheet outcomes instead.

Several additional datasets were created for the econometric analysis. These add one- and two-quarter cash rate lags, calculate the quarterly change in net lending, restrict the sample to 2019Q1 onwards, and exclude six COVID-19 quarters as a sensitivity check. Rows made incomplete by lags and differences were removed.

3.2 Model Specification

The baseline model regresses household net lending on the cash rate in the same quarter:

$$\mathbf{NetLending_t = \beta_0 + \beta_1\ CashRate_t + \varepsilon_t}$$

The null hypothesis is that the cash rate is not associated with net lending ($\beta_1 = 0$). It is tested with a t-test at the 5 per cent level, and 95 per cent confidence intervals are reported. This model uses 43 observations.

To check whether there is a delayed association, lagged cash rate terms are added:

$$\mathbf{NetLending_t = \beta_0 + \beta_1\ CashRate_t + \beta_2\ CashRate_{t-1} + \beta_3\ CashRate_{t-2} + \varepsilon_t}$$

This model uses 41 observations. An ANOVA F-test compares it with a current-rate-only model estimated on the same 41 observations to assess whether the lagged terms improve model fit.

Four more versions are estimated to test whether the baseline result is stable:

- Restricted sample: 2019Q1 onwards only
- First differences: the dependent variable becomes the quarterly change in net lending
- Lagged differences: the quarterly change in net lending is regressed on the lagged cash rate
- Excluding COVID-19: the quarters 2020Q2 to 2021Q3 are removed

All models are estimated using ordinary least squares (OLS). The interest rate regimes from Section 2.2 are used only for the descriptive comparison in Section 4, not as variables in the regressions.

4. Household Debt Trends

4.1 Debt-to-Income Ratio

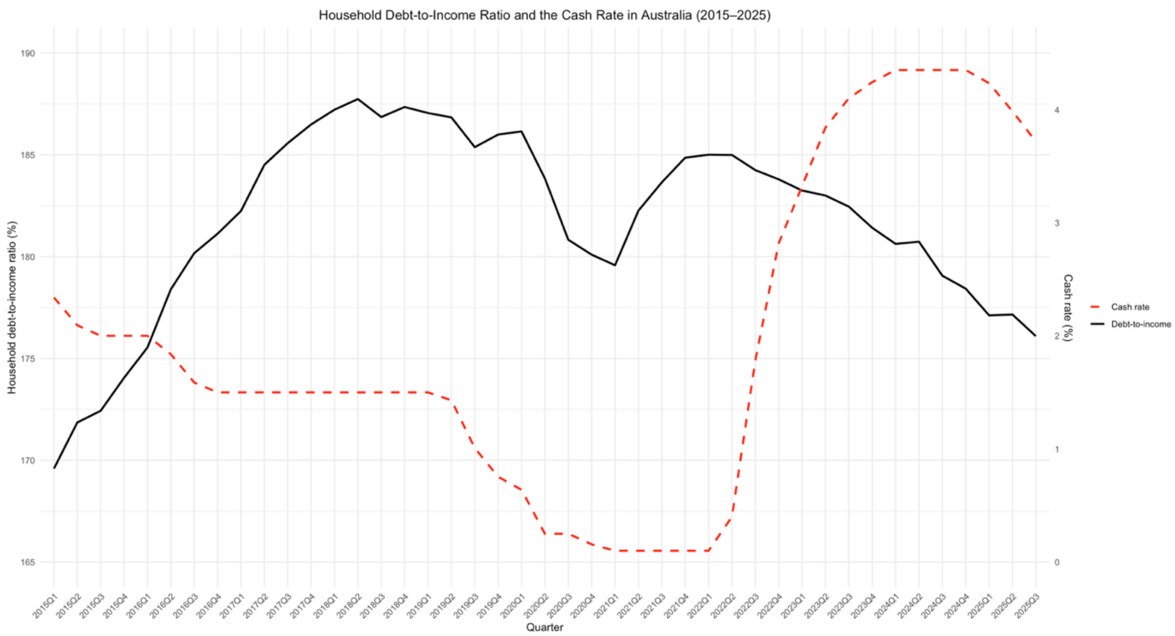

Figure 3. Household Debt-to-Income Ratio and the Cash Rate, 2015–2025

Figure 3 shows the household debt-to-income ratio together with the cash rate from 2015 to 2025. The ratio moved through four phases.

From 2015 to mid-2018 the ratio rose steadily, from about 170 to a peak of 188. Interest rates were low and falling over this period. The ratio then stayed close to that level until early 2020.

The ratio fell sharply during 2020, from 186 in 2020Q1 to 180 in 2021Q1, while the cash rate was at a record low. Household liabilities grew by about 2 per cent over that year, while estimated household income grew by about 6 per cent. The ratio therefore fell because income grew faster than liabilities.

The ratio then rose through 2021, returning to 185 by 2022Q1. Household liabilities increased by about 8 per cent between 2021Q1 and 2022Q1.

After the tightening cycle began in mid-2022, the ratio declined steadily and reached 176 by 2025Q3, its lowest value since early 2016. Total household liabilities nevertheless rose from $2,776 billion in 2022Q1 to $3,337 billion in 2025Q3, an increase of about 20 per cent. Estimated household income grew by roughly 26 per cent over the same period, so the ratio fell because income grew faster than liabilities.

4.2 Debt-to-Assets Ratio

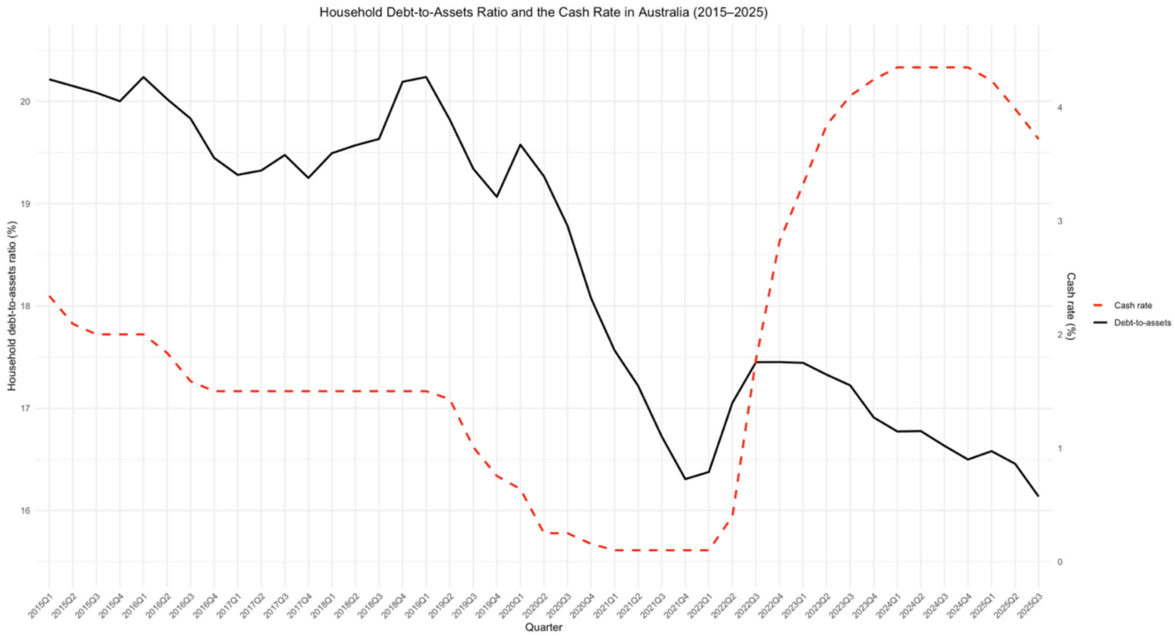

Figure 4. Household Debt-to-Assets Ratio and the Cash Rate, 2015–2025

Figure 4 shows the household debt-to-assets ratio together with the cash rate. The ratio ranged from 16.1 to 20.2 per cent over the sample. Its movement is smaller in percentage-point terms than the debt-to-income ratio, but larger in proportional terms: the debt-to-assets ratio moved across a range equal to about 20 per cent of its highest value, compared with about 10 per cent for the debt-to-income ratio.

The ratio remained around 19 to 20 per cent from 2015 to early 2019, without a clear trend. It then fell from 20.2 per cent in 2019Q1 to 16.3 per cent in 2021Q4. The fall was briefly interrupted in early 2020, when total asset values declined and the ratio rose to 19.6 per cent. Household liabilities continued to increase, while dwelling and other asset values subsequently grew faster.

The ratio rose during the tightening cycle, from 16.3 per cent in 2021Q4 to 17.5 per cent in 2022Q4. Total household assets fell by about 3.5 per cent between 2022Q1 and 2022Q3, while household liabilities continued to grow. This combination temporarily increased aggregate household leverage.

The pressure did not last. Asset values recovered from 2023 and the ratio declined again, reaching 16.1 per cent by 2025Q3, the lowest value in the sample.

By the end of the sample, the aggregate debt-to-assets ratio was lower than at the start of the tightening cycle. However, the increase in 2022 shows that this ratio can worsen when asset values fall while liabilities continue to rise.

5. Econometric Analysis

This section reports seven regressions across six specifications. Table 3 summarises the results, and each specification is discussed in turn below.

Table 3. Regression Results

Specification	Dependent variable	n	Cash rate coefficient	p-value	R^2
5.1 Baseline	Net lending (level)	43	−5,607	0.022	0.121
5.2 Lagged	Net lending (level)	41	3,820 (current) −26,592 (lag 1) 18,418 (lag 2)	0.820 0.395 0.290	0.151
5.3 Post-2019	Net lending (level)	27	−6,716	0.013	0.222
5.4 First difference	Change in net lending	42	723	0.827	0.001
5.5 Lagged difference	Change in net lending	41	1,318 (lag 1) 2,176 (lag 2)	0.698 0.532	0.004 / 0.010
5.6 Excluding COVID-19	Net lending (level)	37	−787	0.711	0.004

Note. Coefficients are in $ million. All models are.estimated by OLS.

5.1 Baseline Model

The baseline model regresses household net lending on the cash rate in the same quarter. The estimated coefficient is −5,607 and is statistically significant at the 5 per cent level (p = 0.022). The 95 per cent confidence interval ranges from −10,364 to −850 and does not include zero, so the null hypothesis of no linear association is rejected in the full sample.

A cash rate one percentage point higher is associated with household net lending about $5.6 billion lower in that quarter. This estimate is large relative to average quarterly net lending of about $14.7 billion, but it should be interpreted cautiously because the model includes no control variables and is sensitive to the COVID-19 period.

A negative coefficient indicates that higher cash rates are associated with a smaller household financial surplus, not necessarily with less borrowing. One possible explanation is that higher interest payments leave less income available for saving, although this mechanism is not tested directly in the model.

The model explains about 12 per cent of the variation in net lending, leaving most of the quarterly variation unexplained.

5.2 Lagged Cash Rate Model

The model is extended to include the cash rate from one and two quarters earlier, to test whether households respond with a delay. Two observations are lost when the lags are created, leaving 41.

None of the three coefficients is statistically significant. The current cash rate is 3,820 (p = 0.820), the one-quarter lag is −26,592 (p = 0.395), and the two-quarter lag is 18,418 (p = 0.290).

The lagged model is compared with a model containing only the current cash rate, estimated on the same 41 observations so that the two are directly comparable. The ANOVA F-test gives $F = 0.654$ ($p = 0.526$), so the lagged terms do not add explanatory power. The adjusted R^2 actually falls, from 0.099 in the current-only model to 0.082 in the lagged model.

The current and lagged cash rates are highly correlated, which makes their individual coefficients difficult to separate. The lagged model should therefore be interpreted cautiously. The joint ANOVA test is more useful for this comparison, and it finds no improvement over the current-rate-only model.

5.3 Post-2019 Analysis

The baseline model is re-estimated using only observations from 2019Q1 onwards ($n = 27$), to check whether the result depends on the earlier part of the sample.

The coefficient remains negative and statistically significant at −6,716 ($p = 0.013$), with a confidence interval from −11,899 to −1,532. The R^2 increases from 0.121 to 0.222.

At first glance this looks like strong support for the baseline result. However, the improvement should be treated carefully. The post-2019 sample is shorter, and a larger share of it falls in the COVID-19 period, when the cash rate was at a record low and household saving was unusually high. Restricting the sample in this way therefore increases the weight of that period rather than testing whether the result depends on it. Section 5.6 addresses this directly.

5.4 First-Difference Analysis

The dependent variable is replaced with the quarterly change in net lending, to test whether the relationship also holds for short-run movements.

The estimated association is not statistically significant in first differences. The coefficient is 723 with a p-value of 0.827, and the R^2 is 0.001. The confidence interval, from −5,905 to 7,351, includes zero.

Quarter-to-quarter changes in net lending are large and irregular, and the cash rate explains almost none of that variation. The association found for the quarterly level of net lending is therefore not present in changes from one quarter to the next.

5.5 Lagged Difference Analysis

The quarterly change in net lending is regressed on the lagged cash rate to test whether there is a delayed association in short-run movements.

No statistically significant delayed association is found. The one-quarter lag coefficient is 1,318 ($p = 0.698$, $R^2 = 0.004$), and the two-quarter lag coefficient is 2,176 ($p = 0.532$, $R^2 = 0.010$). Both estimates are statistically insignificant.

These results suggest that neither the current nor the lagged cash rate explains short-run changes in household net lending in this sample.

5.6 Excluding the COVID-19 Period

The baseline result may be sensitive to the COVID-19 period. During 2020 and 2021, the cash rate was at a record low while government support and lockdown conditions coincided with unusually high household saving. The regression cannot separate these overlapping influences.

To test this, the baseline model is re-estimated with the six quarters from 2020Q2 to 2021Q3 removed ($n = 37$).

After these quarters are excluded, the coefficient falls from −5,607 to −787 and is not statistically significant ($p = 0.711$). The R^2 falls from 0.121 to 0.004, and the confidence interval from −5,063 to 3,489 includes zero.

This is an important qualification. The baseline result is sensitive to the inclusion of the COVID-19 period. Outside those six quarters, this sample does not provide evidence of a contemporaneous linear association between the cash rate and household net lending.

6. Discussion

Sections 4 and 5 provide different perspectives. The descriptive analysis shows changes in household debt ratios during the tightening cycle, while the regression association is not statistically significant after the COVID-19 quarters are excluded. This section considers why the results differ.

Changes in the components of the ratios

Figures 3 and 4 can be interpreted by separating household liabilities from the income and asset measures used in each denominator.

Table 4. Components of the Debt Ratios from 2022Q1 to 2025Q3

Ratio	Change	Liabilities (numerator)	Denominator
Debt-to-income	185.0 → 176.1	+20%	Income +26%
Debt-to-assets	16.4 → 16.1	+20%	Assets +22%

Household liabilities rose by about 20 per cent over this period. The debt-to-income ratio fell because estimated income grew by about 26 per cent, while the debt-to-assets ratio fell because estimated assets grew by about 22 per cent. The lower ratios therefore do not indicate a decline in outstanding household liabilities.

The annual growth rate of household liabilities makes this clearer. Liabilities grew by around 5.9 per cent a year in 2016 and 2017 and 5.2 per cent in 2018. Growth slowed to 2.3 per cent in 2020, then rose to 7.0 per cent in 2022, the fastest rate in the sample and the same year in which the cash rate rose most quickly. It has since settled at about 5.4 per cent a year, which is close to its pre-pandemic pace.

Over this sample, outstanding household liabilities continued to grow during the tightening cycle. Their annual growth rate later returned to approximately its pre-pandemic pace.

Why the regression explains limited variation

Net lending is a broad measure of the household sector's financial surplus or borrowing requirement. It reflects saving, capital investment and other financial transactions that are not included in the regression. These omitted influences and large quarterly movements help explain the low R^2 values and the weak results in first differences.

The COVID-19 period also helps explain the sensitivity of the baseline result. Record-low cash rates coincided with unusually high household saving during government support programs and lockdown restrictions. The simple regression cannot separate these overlapping factors, and the estimated association becomes insignificant when those quarters are removed.

Balance sheet movements during tightening

The clearest balance sheet movement occurred between 2022Q1 and 2022Q3. As the cash rate rose from 0.1 to 1.8 per cent, estimated household assets fell by about 3.5 per cent and household net worth fell by about 4.7 per cent. Because liabilities continued to grow, the debt-to-assets ratio rose from 16.3 to 17.5 per cent.

This timing is consistent with a possible asset-price channel, particularly through housing values. However, the descriptive data cannot isolate the effect of monetary policy from other influences on asset prices. The net lending regression also does not measure changes in the value of assets already held by households.

Combined interpretation

Taken together, the evidence shows limited support for a stable relationship between the cash rate and household net lending, alongside noticeable changes in aggregate household balance sheet ratios.

Higher interest payments are one possible explanation for the negative baseline coefficient because they may reduce income available for saving. This mechanism is plausible but is not tested directly, and the estimated association is not significant outside the COVID-19 period.

The temporary increase in the debt-to-assets ratio during 2022 also coincided with declining asset values. This pattern is consistent with, but does not prove, an asset-price channel.

The data do not show a decline in outstanding household liabilities during the tightening cycle. The debt ratios later fell because income and asset values grew faster than liabilities, rather than because the stock of household debt decreased.

7. Implications for 2026

The analysis ends in 2025, so this section presents possible 2026 scenarios rather than a forecast. Because the cash-rate association is not significant outside the COVID-19 period, the regression coefficients are not used to project specific values.

Aggregate position entering 2026

Households enter 2026 with lower aggregate leverage ratios than at any point since the mid-2010s. The debt-to-income ratio is 176 per cent, its lowest level since early 2016, and the debt-to-assets ratio is 16.1 per cent, the lowest in the sample. Household assets and net worth are at their highest levels in the sample, while the quarterly average cash rate ended 2025 at approximately 3.6 per cent.

These lower ratios did not result from a decline in household liabilities. Liabilities rose by about 20 per cent between 2022 and 2025, while income and asset values grew faster. Their future direction therefore depends on how liabilities, income and asset values change relative to one another.

Scenario if interest rates fall further

If interest rates fall further, borrowing costs would be lower than during 2023 and 2024. The 2021 period provides one comparison: when the cash rate was 0.1 per cent, household liabilities grew by about 8 per cent over the year to 2022Q1. However, that period also included unusual pandemic-related conditions, so it should not be treated as a direct forecast for 2026.

Lower rates could support household borrowing, but the results are not strong enough to estimate the size or timing of that response. If liabilities grow faster than household income, the debt-to-income ratio could stop falling or begin to rise.

Limits of the asset buffer

Section 4 shows that aggregate asset values do not provide constant protection. Estimated household assets fell by about 3.5 per cent between 2022Q1 and 2022Q3, while net worth fell by about 4.7 per cent and the debt-to-assets ratio increased.

This suggests that the aggregate asset buffer can weaken during periods of financial pressure. If rates rise again, the outcome would depend on the response of both asset values and household liabilities.

What to watch

Two indicators would show whether households are behaving differently from the past decade. The first is whether the growth of household liabilities moves away from its long-run pace of around 5 per cent as borrowing costs fall. The second is whether the debt-to-income ratio continues to fall, which would require income to keep growing faster than liabilities. On the evidence in this report, neither outcome should be assumed.

8. Limitations

Six limitations should be kept in mind when reading these results.

The main result is sensitive to one period. The significant baseline association is no longer present after the six quarters from 2020Q2 to 2021Q3 are excluded: the coefficient falls from −5,607 to −787 and the p-value rises from 0.022 to 0.711. Record-low rates and unusually high household saving occurred together during those quarters, and the regression cannot separate their different causes.

The data are not seasonally adjusted. Household net lending follows a strong quarterly pattern: the average September-quarter value is about $38.7 billion, compared with $15.3 billion in March and approximately $1.8 billion in June and December. The Section 5 models do not account for this seasonal variation. Adding quarter indicators raises the R^2 from 0.121 to 0.567. When quarter indicators are included and the COVID-19 quarters are excluded, the cash-rate coefficient remains statistically insignificant ($p = 0.333$).

There is only one tightening cycle in the sample. Of the 43 quarters, only 8 are classified as tightening, and all of them fall between 2022Q2 and 2024Q1. Any conclusion about how households respond to rising interest rates therefore rests on a single episode. That episode was also unusual, because it followed the pandemic and coincided with high inflation and strong income growth. A longer sample covering more than one tightening cycle would be needed to know whether the patterns described here are general.

The models do not control for other factors. Household net lending and balance sheets are also related to income growth, employment, housing prices, lending standards and population growth. Because these factors are not included, the regression coefficients describe associations rather than causal effects.

The data describe the average household only. All variables used here are aggregates for the household sector. They cannot show how debt is distributed. A stable average debt-to-income ratio is consistent with some households being under considerable repayment pressure while others hold little or no debt. Recent borrowers with large mortgages would have experienced the 2022 to 2024 tightening very differently from older households who own their homes outright. This report cannot say anything about that distribution.

Loan structure is outside the measured scope. Consistent fixed-rate and variable-rate loan shares were not available for the full sample. The aggregate balance sheet indicators do not identify which loan structures households selected, so no conclusion about those choices is drawn.

9. Conclusion

This report examined the relationship between the Australian cash rate and household finances from 2015 to 2025. It combined an econometric analysis of household net lending with a descriptive analysis of household balance sheets.

The regression results are sensitive to model specification. In the full sample, the cash-rate coefficient is negative and significant at the 5 per cent level (−5,607, $p = 0.022$). No significant delayed association is found, and the result is not significant when net lending is measured in quarterly changes. After the six COVID-19 quarters are excluded, the coefficient falls to −787 and is no longer significant ($p = 0.711$).

The descriptive analysis shows that both aggregate debt ratios declined by the end of the sample. The debt-to-income ratio reached 176 per cent and the debt-to-assets ratio reached 16.1 per cent by 2025Q3. These declines did not reflect lower household liabilities: liabilities rose by about 20 per cent between 2022Q1 and 2025Q3, while estimated income rose by about 26 per cent and estimated assets by about 22 per cent.

Household liabilities grew by about 7.0 per cent during 2022, when the cash rate also rose quickly, and later grew at approximately 5.4 per cent a year. The sample therefore does not show outstanding household liabilities declining during the tightening cycle.

Together, the two approaches suggest that a simple regression of net lending on the cash rate captures only part of the change in household finances. The temporary rise in the debt-to-assets ratio during 2022 coincided with a fall in asset values, while the negative baseline coefficient may partly reflect higher interest payments and lower income available for saving. Neither mechanism is identified causally by this analysis.

These conclusions are limited by the short sample, the presence of only one tightening cycle, strong seasonality and the absence of control variables. Within those limits, the evidence does not establish that higher cash rates caused households to borrow less. It shows that liabilities continued to rise while income and asset values grew faster by the end of the sample.

10. Variable Definitions

Net household lending and borrowing. The balancing item in the household sector capital account after saving and capital transfers are compared with capital investment, measured in $ million. A positive value indicates net lending and a negative value indicates net borrowing.

Cash rate. The policy interest rate set by the Reserve Bank of Australia. It is the main interest rate used by the central bank and affects borrowing costs for households and businesses across the economy. In this report it is measured as the average of the daily cash rate target within each quarter.

Rate change. The change in the average cash rate from the previous quarter, measured in percentage points. This variable is used to classify each quarter into an interest rate regime.

Lagged cash rate. The cash rate from one and two quarters earlier. These values are used to test whether household net lending is associated with past cash rates rather than only the current rate.

Interest rate regimes. Quarters are classified as tightening if the cash rate increased, easing if it decreased, and stable if it did not change.

Debt-to-income ratio. Household debt as a percentage of annualised household income. It shows how large household debt is relative to the income available to service it.

Debt-to-assets ratio. Household debt as a percentage of total household assets. It shows household leverage and how much of a buffer households hold against their debt.

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